# Consolidated Financial Statements

## Consolidated Statement of Comprehensive Income

| | Note | 2024 | 2023 |
|---|---|---|---|
| *In thousands of euros* | | | |
| Revenue from sale of own real estate | 7 | 7,145 | 17,581 |
| Revenue from rendering of services | 7 | 332 | 758 |
| **Total revenue** | 6,7 | **7,477** | **18,339** |
| | | | |
| Cost of sales | 8 | -5,707 | -12,740 |
| **Gross profit** | | **1,770** | **5,599** |
| | | | |
| Other income | | 7 | 107 |
| Marketing and distribution expenses | 9 | -551 | -387 |
| Administrative expenses | 10 | -1,127 | -1,387 |
| Other expenses | | -31 | -20 |
| Gain on revaluation of investment property | 15 | 0 | 28 |
| **Operating profit** | | **68** | **3,940** |
| | | | |
| Financial income and cost | 11 | -640 | -390 |
| **Profit (loss) before tax** | | **-572** | **3,550** |
| Income tax | | -52 | 0 |
| **Net profit (loss) for the period** | | **-624** | **3,550** |
| | | | |
| **Total comprehensive income (expense) for the period** | | **-624** | **3,550** |
| | | | |
| **Earnings per share (in euros)** | 12 | | |
| - basic | | **-0.06** | **0.34** |
| - diluted | | **-0.06** | **0.34** |

# Consolidated Statement of Financial Position

| | Note | 31.12.2024 | 31.12.2023 |
|---|---|---|---|
| *In thousands of euros* | | | |
| Cash and cash equivalents | 20 | 1,720 | 1,472 |
| Receivables and prepayments | 13,20 | 5,690 | 5,798 |
| Inventories | 14 | 29,170 | 27,637 |
| **Total current assets** | | **36,580** | **34,907** |
| | | | |
| Receivables and prepayments | 13 | 18 | 18 |
| Investment property | 15 | 2,296 | 20 |
| Property, plant and equipment | 16 | 622 | 221 |
| Intangible assets | 16 | 52 | 24 |
| **Total non-current assets** | | **2,988** | **283** |
| **TOTAL ASSETS** | | **39,568** | **35,190** |
| | | | |
| Loans and borrowings | 17 | 234 | 3,391 |
| Payables and deferred income | 18 | 4,487 | 4,013 |
| Warranty provisions | | 127 | 80 |
| **Total current liabilities** | | **4,848** | **7,484** |
| | | | |
| Loans and borrowings | 17 | 14,981 | 6,689 |
| **Total non-current liabilities** | | **14,981** | **6,689** |
| **TOTAL LIABILITIES** | | **19,829** | **14,173** |
| | | | |
| Share capital | 19 | 7,272 | 7,272 |
| Share premium | | 3,835 | 3,835 |
| Statutory capital reserve | | 2,011 | 2,011 |
| Other reserves | | 27 | 56 |
| Retained earnings | | 6,594 | 7,843 |
| **Total equity attributable to owners of the parent** | | **19,739** | **21,017** |
| **TOTAL EQUITY** | | **19,739** | **21,017** |
| **TOTAL LIABILITIES AND EQUITY** | | **39,568** | **35,190** |

# Consolidated Statement of Cash Flows

| | Note | 2024 | 2023 |
|---|---|---|---|
| *In thousands of euros* | | | |
| Cash receipts from customers | | 5,203 | 9,662 |
| Cash paid to suppliers | | -8,426 | -21,316 |
| Taxes paid | | -3,155 | -1,811 |
| Taxes recovered | | 1,020 | 1,078 |
| Cash paid to employees | | -1,205 | -820 |
| Other cash payments and receipts related to operating activities (net) | | -26 | 69 |
| **NET CASH FROM/USED IN OPERATING ACTIVITIES** | | **-6,589** | **-11,672** |
| | | | |
| Payments made on purchase of tangible and intangible assets | 16 | -6 | -3 |
| Proceeds from sale of investment property | 15 | 0 | 8,894 |
| Payments made on purchase and development of investment property | 15 | -2,276 | 0 |
| **NET CASH FROM/USED IN INVESTING ACTIVITIES** | | **-2,282** | **8,891** |
| | | | |
| Proceeds from loans received | 17 | 13,246 | 14,095 |
| Settlement of loans and borrowings | 17 | -2,193 | -11,026 |
| Interest paid | | -1,311 | -1,326 |
| Dividends paid | 22 | -623 | -624 |
| Other payments related to financing activities | 12 | 0 | -4 |
| **NET CASH FROM/USED IN FINANCING ACTIVITIES** | | **9,119** | **1,115** |
| | | | |
| **NET CASH FLOW** | | **248** | **-1,666** |
| | | | |
| Cash and cash equivalents at the beginning of period | 20 | 1,472 | 3,427 |
| **Change in cash and cash equivalents** | | **248** | **-1,666** |
| Decrease in cash and cash equivalents through sale of subsidiaries | | 0 | -289 |
| Cash and cash equivalents at the end of period | 20 | 1,720 | 1,472 |

# Consolidated Statement of Changes in Equity

| | Share capital | Share premium | Statutory capital reserve | Other reserve | Retained earnings | **Total equity** |
|---|---|---|---|---|---|---|
| *In thousands of euros* | | | | | | |
| **Balance as of 31 December 2022** | **7,272** | **3,835** | **2,011** | **0** | **4,917** | **18,035** |
| Dividends paid | 0 | 0 | 0 | 0 | -624 | **-624** |
| Formation of equity reserve | 0 | 0 | 0 | 56 | 0 | **56** |
| Total comprehensive income for the period | 0 | 0 | 0 | 0 | 3,550 | **3,550** |
| **Balance as of 31 December 2023** | **7,272** | **3,835** | **2,011** | **56** | **7,843** | **21,017** |
| | | | | | | |
| **Balance as of 31 December 2023** | **7,272** | **3,835** | **2,011** | **56** | **7,843** | **21,017** |
| Dividends paid | 0 | 0 | 0 | 0 | -625 | **-625** |
| Formation of equity reserve | 0 | 0 | 0 | -29 | 0 | **-29** |
| Total comprehensive income for the period | 0 | 0 | 0 | 0 | -624 | **-624** |
| **Balance as of 31 December 2024** | **7,272** | **3,835** | **2,011** | **27** | **6,594** | **19,739** |

For additional information on share capital and other equity items, see note 19.

# Notes to the Consolidated Financial Statements

## 1. General information

These consolidated financial statements of Arco Vara AS and its subsidiaries as of and for the year ended on 31 December 2024 were authorised for issue by the chief executive officer / member of the management board on 3 April 2025. Under the Commercial Code of the Republic of Estonia, the annual report prepared by the management board and approved by the supervisory board must be approved by the shareholders' general meeting. The consolidated financial statements are part of the annual report, which has to be approved by the shareholders, and they serve as a basis for adopting a resolution for distributing the profit. Shareholders may decide not to approve the annual report, which has been prepared by the management board and approved by the supervisory board, and may demand that a new annual report be prepared.

Arco Vara AS is a company incorporated and domiciled in Estonia whose registered office is at Rotermanni street 10 Tallinn. As of the end of 2024, 13 people provided services to the Group under the employment or authorization contract (31 December 2023: 18 people). In addition to Estonia, the Group has, through its subsidiaries, active operations also in Bulgaria.

The structure of the Group as of 31 December 2024 is presented in note 24.

## 2. Statement of compliance and basis of preparation

The consolidated financial statements of Arco Vara AS and its subsidiaries have been prepared in accordance with International Financial Reporting Standards (IFRS) as adopted by the EU. The consolidated financial statements have been presented and submitted for approval in conformity with the requirements of the Estonian Accounting Act and the Estonian Commercial Code. The consolidated financial statements are presented in thousands of euros, unless indicated otherwise.

The consolidated financial statements have been prepared under the historical cost convention, unless explained otherwise in note 4 Significant accounting policies.

### Use of accounting estimates and judgements

The preparation of consolidated financial statements in conformity with IFRS as adopted by the EU requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets and liabilities, income and expenses, and the disclosure of contingent assets and contingent liabilities, based on the likelihood of respective events happening. Although estimates and underlying assumptions are reviewed on an ongoing basis and they are based on historical experience and expectations of future events that are believed to be reasonable under the circumstances, actual results may differ from the estimates.

Information about management's critical judgements and estimates that have a material effect on the amounts reported in the financial statements is provided below.

### Estimation uncertainty

The estimates made by management are based on historical experience and the information that has become available by the date the financial statements are authorised for issue. There is a risk that the estimates applied at the reporting date in respect of assets and liabilities and associated income and expenses need to be revised in the future. The key sources of estimation uncertainty that have a significant risk of causing material adjustments to the consolidated financial statements are discussed below.

**Estimation of the net realisable value of inventories**

The Group has several items of real estate (properties) that have been classified as inventories. The net realizable values of all significant properties classified as inventories were measured as of 31 December 2024 and 31 December 2023 in order to determine whether:

1) the net realizable value of any item had decreased below its carrying amount;

2) any impairments recognized in prior periods needed to be reversed.

Inventory valuation is carried out individually by project (land plot or building). A business plan is prepared for each property and the costs of the property are compared with the potential revenues. In the case of properties under development, the final cost is assessed based on the budgeted costs that are necessary until the completion of the project; in the case of completed properties, the actual costs incurred are taken into account. The sales price has been determined using the comparative method and the assessment of agreements concluded for the sale of the property. The net realizable value has been calculated taking into account the selling costs. If the costs of the property exceed the income from the sale of the property (net realizable value), the Group writes down the assets by the amount of the costs exceeding the income. Due to the volatility of the construction market and the variable liquidity of the real estate market, determining the net realizable value depends to a significant extent on the management's estimates. If necessary, external experts will be involved in the evaluation process. Valuation methods are described in more detail in notes 4 and 14.

## 3. Changes in accounting policies and presentation of information

The consolidated financial statements are prepared in accordance with the principles of consistency and comparability, which means that the Group consistently applies the same accounting and presentation policies. Accounting policies and presentation are changed only when this is required by new or revised International Financial Reporting Standards (IFRS) as adopted by the EU and their interpretations, or when a new accounting policy or presentation practice represents the Group's financial position, financial performance and cash flows more adequately.

Except as described below, the accounting policies applied in these financial statements are the same as those applied in the Group's consolidated financial statements as of and for the year ended 31 December 2023. A number of new standards did not have a material effect on the Group's financial statements as of 1 January 2024 (see note 4).

## 4. Significant accounting policies

### New accounting pronouncements after 1 January 2025

The following new standards, interpretations and amendments are not yet effective for the annual reporting period ended 31 December 2024 and have not been applied in preparing these consolidated financial statements. The Group plans to adopt these pronouncements when they become effective.

Presentation and disclosure of Financial Statements – (Effective from annual reporting periods starting from 1 January 2027 or later; not endorsed by the EU yet. Early implementation is allowed.).

The standard IFRS 18 replaces the standard IAS 1 "Presentation of Financial Statements." The key changes in the requirements are summarized below.

**Structured Income Statement**

The IFRS 18 standard introduces new definitions for key figures—"operating profit" and "profit (loss) before financing and income tax"—and requires that all revenues and expenses be classified into three new distinct categories based on the company's primary activities: operating, investing, and financing. Under IFRS 18, companies are no longer permitted to disclose operating expenses solely in the notes. Instead, the company must present operating expenses in a manner that provides the most useful structured summary of its costs, doing so through one of the following methods:

- Nature of expenses
- Function of expenses
- Combined presentation method

If operating expenses are presented based on their function, new disclosure requirements will apply.

**Management-defined performance indicators that must be disclosed and audited**

According to IFRS 18, certain indicators must also be disclosed in the financial statements that are not covered by the so-called good accounting practices. The standard establishes a narrow definition of management-defined performance metrics, which stipulates that:

- they represent the difference between revenues and expenses;
- they are used in public communications outside of financial statements; and
- they reflect management's assessment of financial performance.

For each management-defined performance metric presented, the company must explain in a note to the financial statements why the information provided by this metric is useful, how it is calculated, and compare it to the metrics calculated in accordance with IFRS standards. applied.

**Increased Distinction of Data**

To provide investors with a better overview of financial results, the new standard offers more precise guidelines on the grouping of information in financial statements. This includes guidance on whether information should be presented in the primary financial statements or disclosed in more detail in the notes. Companies are discouraged from using the line item "Other," and if they choose to do so in the future, they must provide additional information.

Transition in the financial statements prepared for the period in which the new standard is first applied, the entity must present a comparison of each line item in the income statement for the immediately preceding comparative period, disclosing:

- adjusted amounts presented in accordance with IFRS 18, and
- previously presented amounts in accordance with IAS 1.

The group plans to implement the new standard starting from January 1, 2027. The group estimates that the initial application of the new standard may have a significant impact on its financial statements. The group is currently assessing the potential effects of implementing IFRS 18 on its financial reporting.

Other new or revised standards or interpretations which are not yet effective are not expected to have a material impact on the Group.

## Business combinations and basis of consolidation

The financial statements of all group entities coincide with the calendar year. The group entities use in all material respects uniform accounting policies and measurement bases. Where necessary, the accounting policies and measurement bases of group entities are adjusted for consolidation to ensure consistency with the policies adopted by the Group.

In preparing the consolidated financial statements, all transactions, balances and unrealized profits and losses arising from transactions between consolidated entities are eliminated in full. Unrealized losses are eliminated only to the extent that there is no evidence of impairment. Subsidiaries are consolidated from the date the control commences until the date the control ceases.

Acquisitions of subsidiaries are accounted for using the acquisition method whereby the assets acquired and liabilities and contingent liabilities assumed ('net assets') are recognized and measured at their acquisition-date fair values. For each business combination, the Group decides whether to measure the non-controlling interests in the acquiree at either fair value or the non-controlling interests' proportionate share in the recognized amounts of the acquiree's identifiable net assets. If the aggregate of the consideration transferred, the amount of any non-controlling interest in the acquiree and the acquisition-date fair value of the Group's previously held equity interest in the acquiree exceeds the Group's interest in the net of the acquisition-date amounts of identifiable assets acquired and the liabilities assumed, the difference is recognized as goodwill. When a bargain purchase is made and the fair value of the net assets acquired exceeds the above aggregate amount, the resulting gain is recognized in profit or loss immediately. Acquisition-related costs are recognized as expenses as incurred.

In the parent company's separate financial statements, the investments in subsidiaries are accounted for at cost less accumulated impairment. If it becomes apparent that the recoverable amount of investments in subsidiaries has increased above the carrying amount, the previous impairment loss is reversed and the carrying amount of the investments is increased.

## Segment reporting

Segment reporting complies with internal reporting submitted to the Group's chief operating decision makers. The Group has identified the parent company's CEO/ member of the management board as its chief operating decision maker. The CEO/ member of the management board reviews the Group's operating results by business line, whereby an operating segment is a component of the Group that provides clearly distinguishable products or services and operates as an independent profit center.

Segment revenue is revenue that a segment earns from sales to external customers or other segments of the Group. Segment expenses are expenses resulting from the operating activities of a segment that are directly attributable to the segment, including expenses from transactions with external suppliers and other segments of the Group. Segment expenses do not include finance costs and investment expenses, the Group's general administrative expenses and other expenses that arise at the Group level. The costs incurred at the Group level are allocated to a segment only if they relate to the segment's operating activities and they can be attributed to the segment on a reasonable basis.

Unrealized profits and losses which arise within the Group from transactions performed between its segments are not allocated to any segment but are reported as eliminations of inter-segment profits and losses. Unrealized profits and losses that arise from transactions between the Group's head office and the segments and which can be allocated to a segment on a reasonable basis are included in the segment's operating profit. Segment assets are assets that

are employed by a segment in its operating activities and that are directly attributable to the segment. Segment assets include, for example, current assets, investment properties, property, plant and equipment and intangible assets used in a segment's operating activities. Segment assets do not include assets used for the Group's general needs or ones which cannot be directly allocated to the segment.
Segment liabilities are liabilities that result from the operating activities of a segment and that are directly attributable to the segment. Segment liabilities include, for example, trade and other payables, accrued expenses, advances from customers, warranties provisions and other liabilities related to the segment's products and services. Segment liabilities include also loans and finance lease liabilities arisen from financing activities. Unallocated items comprise revenue and expenses and assets and liabilities, which have not been allocated to any segment under the above principles.

## Foreign currency transactions

When the functional currency of a subsidiary differs from the parent's functional currency, the financial statements of the subsidiary (in Bulgaria) are translated for consolidation purposes using the central exchange rate of the currency against the euro, which is why translation does not give rise to any significant exchange differences. Bulgaria has fixed its currency to the euro.

## Revenue

Revenue is income arising in the course of the Group's ordinary activities. Revenue is measured in the amount of transaction price. Transaction price is the amount of consideration to which the Group expects to be entitled to in exchange of transferring control over promised goods or services to a customer, excluding the amounts collected on behalf of third parties. The Group recognizes revenue when it transfers control of a good or service to a customer.

**Revenue from sale of real estate**

The Group develops and sells real estate (mostly apartments). Revenue is recognized when control over the property has been transferred to the customer. The properties have generally no alternative use for the Group due to contractual restrictions. However, an enforceable right to payment does not arise until legal title has passed to the customer. Therefore, revenue is recognized at a point in time when the legal title has passed to the customer.

**Revenue from franchise agreements**

The Group is selling licensing rights to its trademarks to real estate agencies in Estonia, Latvia and Bulgaria. Revenues are recognized in periods when services are provided. Revenues depend on the turnover of real estate agencies, which are reported on a monthly basis.

**Revenue real estate leasing and other services**

The Group rented commercial premises belonging to the Group. Revenue from the rendering of services is recognized in the period when the services are rendered and the income from the leased commercial premises is linear during the lease term.

**Financing component**

Group does not have any contracts where the period between the transfer of the promised goods or services to the customer and payment by the customer exceeds one year. Consequently, the Group does not adjust any of the transaction prices for the time value of money.

## Cash and cash equivalents and the statement of cash flows

Cash and cash equivalents comprise cash and short-term (with a term of up to 3 months from the date of acquisition) highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in market value. Such assets are cash, demand deposits and term deposits with a maturity of up to three months.
In the statement of cash flows, cash flows are presented using the direct method.

## Financial assets

**Classification**

The Group classifies its financial assets in the following measurement categories:

- to be measured subsequently at fair value (either through other comprehensive income or through profit or loss),
- to be measured at amortized cost.

The classification depends on the Group's business model for managing the financial assets and the contractual terms of the cash flows.

**Recognition and derecognition**

Ordinary purchases and sales of financial assets are recognized on transaction date, when the Group commits to purchase or sell the asset. Financial assets are derecognized when the rights to receive cash flows from the financial assets have expired or have been transferred and the Group has transferred substantially all risks and rewards of ownership.

**Measurement**

At initial recognition, the Group measures a financial asset at its fair value plus transaction costs that are directly attributable to the acquisition, except for financial assets carried at fair value through profit or loss statement. Transaction costs of financial assets carried at fair value through profit or loss statement are expensed in profit or loss statement.

**Debt instruments**

Subsequent measurement of debt instruments depends on the Group's business model for managing financial assets and on the cash flow characteristics of the asset. All Group's debt instruments are classified in amortized cost measurement category.

Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortized cost. Interest income from these financial assets is included in financial income using the effective interest rate method. Any gain or loss arising on derecognition is recognized directly in profit or loss statement and presented in other income/expenses. Foreign exchange gains and losses and impairment losses are presented as separate line items in profit or loss statement.

**Equity instruments**

The Group records equity instruments at their fair value. If the Group has made an irreversible decision to record the fair value changes of equity instruments not held for trading purposes through other comprehensive income, then it is not possible upon derecognition of such equity instrument to reclassify changes and record them through profit and loss statement. Dividends received from such investments will continue to be recorded in the other income row of the profit or loss statement if the Group has received a right of dividends.

Profit or loss from equity instruments measured at fair value through profit or loss statement is recorded on the other income or loss row of the profit or loss statement. Devaluations (or reversals thereof) of equity instruments measured at fair value through other comprehensive income statement are not recorded separately from changes in fair value.

**Impairment**

The Group assesses on a forward-looking basis the expected credit losses associated with its debt instruments carried at amortized cost and fair value with changes through profit and loss. The impairment methodology applied depends on whether there has been a significant increase in credit risk.

The measurement of expected credit losses reflects: (i) an unbiased and probability weighted amount that is determined by evaluating a range of possible outcomes, (ii) time value of money and (iii) all reasonable and supportable information that is available without undue cost and effort at the end of each reporting period about past events, current conditions and forecasts of future conditions. The Group measures impairment as follows:

- receivables from purchasers in an amount equal to expected credit losses over lifetime;
- cash and cash equivalents the credit risk of which is assessed to be low during the reporting period (the management considers an investment-grade credit rating by at least one major credit rating agency to prove a low credit risk) in an amount equal to the expected credit losses over 12 months;
- for all other financial assets, the expected credit losses over 12 months if the credit risk (i.e. default risk over the life of the financial asset) has not increased significantly after initial recognition; if there is a significant increase in risk, the credit loss is measured at the amount of credit losses expected over the lifetime.

## Inventories

The Group's inventories include mostly land and buildings that have been acquired or are being developed for housing developments. Finished goods and work in progress are initially recognized at their cost of conversion. The cost of conversion includes all direct and indirect production costs incurred in bringing the inventories to their present location and condition. Other inventories are initially recognized at cost, which includes all direct and indirect costs incurred in bringing the inventories to their present location and condition. Indirect costs that are included in the cost of items of real estate classified as inventories include borrowing costs incurred in financing the construction of the assets. and salaries of development managers.

Capitalization of borrowing costs commences when borrowing costs and expenditures for development of inventories have been incurred and development activities have been undertaken. Borrowing costs are capitalized during the active development stage. Capitalization of borrowing costs ceases when the asset is complete (usually when the building has been granted an authorisation for use) or its development has been suspended for an extended period.

The cost of inventories is assigned using the weighted average cost formula. Inventories are recorded at cost or net realizable value, whichever is lower. Any write-down of inventories to net realizable value is recognized as an expense in the period of the report, shown separately on the income statement as a gain (loss) from inventory write-downs. If a previously written-down net realizable value increases in later periods, the prior write-down must be reversed.

Developed real estate is recognized as an expense in the amount of square meters sold in the period when the sale is recorded.

## Investment properties

Investment properties are initially recognized in the financial position statement at acquisition cost, which includes transaction costs directly related to the acquisition: notary fees, state duties, fees paid to consultants, and other expenses without which the purchase transaction would likely not have been concluded. Subsequently, the real estate investment is reported at fair value on each reporting date, determined based on actual market conditions at the reporting date. Gains and losses arising from changes in the fair value of real estate investments are recognized in the consolidated income statement line for Profit (Loss) from real estate investments. In determining the fair value of real estate investments, in addition to management's estimates, the opinions of independent certified appraisers are used when necessary. The following methods are applied in determining fair value:

- Income approach (discounted cash flow analysis or income capitalization). The income approach is used to determine the value of properties that have stable rental income or in cases where management believes that the comparative method does not reflect fair value (for example, due to low market liquidity in the area of the property being valued, lack of comparable transactions, or a significant time gap between the comparable transaction and the valuation date). To determine the fair value of a rental-generating property using the income approach, the appraiser must forecast the future rental income of the property (including rent per square meter and occupancy rates) and operating costs. Depending on the ease and feasibility of lease termination by tenants, the appraiser chooses to analyze either existing cash flows or average cash flows in the market. Additionally, in the case of discounted cash flow analysis, a suitable discount rate must be chosen to determine the present value of net cash flow, reflecting current market trends for the time value of money and specific risks associated with the asset. The average capital structure in the market is used as a basis for selecting the discount rate. In determining the capitalization rate used in the income capitalization approach, the average expected return of investors for similar types of assets in the specific market is taken into consideration.
- Comparative method. The comparative method is used for properties that do not generate rental income and are held for future development potential or value appreciation. In the comparative method, transactions that occurred under comparable conditions to the object being valued are examined, and the market value of the object is derived from the price per square meter of completed transactions. Since the transactions that serve as the basis for the comparative method are practically never absolutely identical to the object being valued, adjustments are made to the indicators of the transactions based on time, location, size, and detailed planning, or another valuation method (such as the income approach) is used, which, in management's opinion, better reflects the fair value of the property.
- Residual value method. This method is used for valuing property that requires development or renovation in cases where the comparative method cannot be used due to the lack of a suitable comparison base. When using this method, it is assumed that the buyer of the property is willing to pay an amount equal to the value of the developed or reconstructed property minus the development or reconstruction costs and a reasonable profit from the development project.
- Contractual sales agreement as of the reporting date. For properties sold under a contractual sales agreement as of the reporting date, when the property rights agreement has not yet been concluded, the sale price in the contractual sales agreement is used as the basis for recognizing fair value. The sale price stated in the contractual agreement is used to determine the fair value of the property only if the group has sufficient certainty that a property rights agreement will be concluded under the same conditions (for example, if the buyer has made a significant advance payment for the property as of the reporting date or if the property rights agreement was concluded after the reporting date but before the preparation of the annual financial statements by the management).

## Property, plant and equipment

The threshold for recognizing tangible fixed assets is 1,000 euros. An exception is made for investment property: an investment property is capitalized if the total cost exceeds 5,000 euros and the lease term is longer than one year. The company leases office spaces under operating lease conditions. The lease agreements do not impose significant additional terms or restrictions on the company. The company recognizes short-term and low-value assets used under the right of use as an expense, amortizing them linearly over the lease period.

Asset classes are assigned the following annual depreciation rates:

- Buildings and structures 2–18%
- Plant and equipment 8–20%
- Investment property 20%
- Other equipment and fixtures and tools 20–40%.

## Intangible assets

The Group's intangible assets comprise assets with defined useful lives only. Intangible asset classes are assigned the following annual amortization rates:

- Business software 20 - 33%,
- Website 10 - 33%.

## Financial liabilities

Financial liabilities (trade and other payables, loans and borrowings and accrued expenses) are initially recognized at their fair value less any transaction costs directly attributable to their acquisition. After initial recognition, financial liabilities are measured at amortized cost using the effective interest rate method.

Interest expenses on financial liabilities are recognized in finance costs on an accrual basis except that interest expenses on financing the development of assets (real estate projects carried as inventories, investment properties, and items of property, plant and equipment) are capitalized and added to the carrying amount of the asset as borrowing costs.

A financial liability is classified as current when it is due to be settled within 12 months after the reporting date or the Group does not have an unconditional right to defer settlement of the liability for more than 12 months after the reporting date. Financial liabilities which are due to be settled within 12 months after reporting date are classified as current even if an agreement to refinance on a long-term basis is completed after the reporting date and before the financial statements are authorised for issue. When a contract is breached on or before the reporting date with the effect that the liability becomes payable on demand, the liability is also classified as current.

A financial liability is removed from the statement of financial position when it is discharged or cancelled or expires.

## Share-based payments

The share options granted to the Group's CEO/member of the management board and key employees are recognized as equity-settled consideration for services rendered to the Group. Owing to the complexity of determining the fair value of services received, the fair value of the services rendered by the CEO/member of the management board and key employees is measured by reference to the fair value of the equity instruments granted.

The cost of equity-settled share-based payment transactions is recognized as an expense with a corresponding increase in equity over the period in which the employee provided services until the date of vesting of equity instruments. At each balance sheet date, the Group recognizes expenses related to share-based payments based on an estimate of the number of equity instruments expected to vest. Any change in the cumulative remuneration expense from the date of the current reporting period is recognized in profit or loss for the period. The grant of share options is conditional on the length of the employee's employment in the Group between the grant date of the options and the end of the vesting period. Vesting conditions, other than market conditions, are not taken into account when estimating the fair value of the share options at the measurement date. Instead, vesting conditions are taken into account by adjusting the number of equity instruments included in the measurement of the transaction so that, ultimately, the amount recognized for services received as consideration for the equity instruments granted is based on the number of equity instruments that will eventually vest. Hence, on a cumulative basis, no amount is recognized for services received if the equity instruments granted do not vest because of the failure to satisfy a vesting condition, e.g. when the counterparty fails to complete a specified service period.

If the share options are exercised by the CEO/member of the management board or key employees, the Group will issue new shares, which will be redeemed by the CEO/member of the management board or key employees for 0.7 euros per share. The fair value of share options accumulated in equity will be transferred to retained earnings at the exercise date.

## Provisions and contingent liabilities

A provision is recognized in the statement of financial position only when the Group has a present legal or constructive obligation as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. For example, the guarantee reserve is reported separately. The guarantee reserve is formed as a percentage of the construction volume based on the company's previous experience: the percentage varies depending on the project, ranging from 0.2% to 0.5%. In addition to the company's guarantee provisions, guarantees for the construction are also provided by subcontractors, from whose payments a corresponding portion is withheld until the end of the guarantee period.

Other possible commitments that may transform into obligations under certain circumstances (which have not yet occurred) are disclosed as contingent liabilities in the notes to the consolidated financial statements.

Present obligations arising from past events, which according to management's judgement will not realise or cannot be measured reliably are also disclosed as contingent liabilities.

## Income tax

Income tax assets and liabilities and income tax expense and income comprise current and deferred items. Current tax is recognized as a short-term asset or liability and deferred tax is recognized as a long-term asset or liability.

**Parent company and subsidiaries registered in Estonia**

Under the Estonian Income Tax Act, in Estonia companies do not have to pay income tax on their earnings (profit for the year). Instead, income tax is levied on profit distributions (dividends). Corporate income tax on dividends is recognized in the consolidated income statement as an income tax expense and in the balance sheet as a deferred tax liability to the extent of the planned dividend payout. The obligation to pay income tax arises on the 10th day of the month following the dividend payout. Deferred tax liabilities are recognized in relation to investments made in subsidiaries, except in cases where the group can control the timing of the reversal of taxable temporary differences and it is probable that the reversal will not occur in the foreseeable future. Since the parent company controls the payment of dividends, the sale or liquidation of investments, and other transactions with subsidiaries, it can control the timing of the reversal of taxable temporary differences related to those investments. Therefore, if the parent company has decided that the earned profits will not be distributed in the foreseeable future, it will not recognize a deferred tax liability. If the parent company assesses that dividends will be paid in the near future, it measures the deferred tax liability based on the planned dividend payout, provided that as of the reporting date, there are sufficient resources to pay dividends and equity from which profits can be distributed in the near future.

In 2024, the applicable corporate tax rate was 20% (20/80 of the distributable net dividends), and there was a special regime that applied a lower tax rate of 14% (14/86 of the net amount of dividends) to regular profit distributions. From January 1, 2025, the tax rate on dividend income will be 22% (22/78 of the distributable net dividends). The previously applicable preferential rate of 14% (14/86) for regular profit distributions has been abolished, and a uniform taxation regime will apply to all dividends. The income tax associated with the dividend payout is recognized as an expense for the period upon the declaration of the dividends.

The contingent tax liability reflecting the obligation that would arise on the distribution of retained earnings as dividends is not recognized in the statement of financial position. Maximum possible tax liability in case all retained earnings were distributed is disclosed in note 22.

**Bulgarian subsidiaries**

In Bulgaria, the profit earned by companies is subject to income tax. The tax rate in Bulgaria is 10% of taxable income. Taxable income is identified by adjusting profit before tax for the temporary and permanent differences permitted by the local tax laws.

In the case of foreign subsidiaries, deferred income tax assets and deferred income tax liabilities are recognized for all temporary differences between the carrying amounts and tax bases of assets and liabilities. A deferred tax asset is recognized to the extent that it is probable that future taxable profits will be available against which the temporary difference can be utilised.

## Investments in subsidiaries and joint ventures in the parent company's unconsolidated primary financial statements presented in accordance with the Estonian Accounting Act

The parent company's unconsolidated primary financial statements (note 25) represent supplementary information that is presented in accordance with the requirements of the Estonian Accounting Act and they do not constitute separate financial statements as defined in IAS 27.

In the parent's unconsolidated primary financial statements, investments in subsidiaries are measured

using the cost method whereby an investment is initially recognized at cost, i.e. at the fair value of the consideration paid for it on acquisition and after initial recognition it is carried at cost less any impairment losses.
Investments are tested for impairment by measuring their recoverable amounts whenever there is any indication of impairment. Impairment losses are recognized in the statement of comprehensive income in other expenses or in separate line if the amount is material. Dividends received and receivable from subsidiaries are recognized as income when the right to receive payment has been established.

## 5. Acquisition and sale of subsidiaries

### Scope of consolidation

As of 31 December 2024, the Group consisted of 13 companies, which is one less than on 31 December 2023. In 2024, the subsidiary in Latvia was liquidated. In 2023, 3 subsidiaries were sold and Kodulahe OÜ and Kodulahe Kvartal OÜ were combined under name Kodulahe Kvartal OÜ. The structure of the Group is presented in note 25.

### Liquidation of Subsidiaries in 2024

On January 16, 2024, Marsili II SIA was liquidated. This marked the end of the group's development activities in the Republic of Latvia.

### Sale of subsidiaries in 2023

On June 30,.2023, three subsidiaries of Arco Invest EOOD were sold in Bulgaria: Office Cherkovna EOOD, Trade Center Cherkovna EOOD, Oborishte Premium Apartments EOOD. The purpose of creating these subsidiaries in 2022 was the sale of the Madrid commercial building in Sofia through various service lines, and this transaction was completed in 2023.

### Merge of subsidiaries in 2023

On November 30, 2023, the merger of Kodulahe OÜ and Kodulahe Kvartal OÜ took effect, Kodulahe OÜ was deleted. Both companies were involved in the development of homes in the Kodulahe Kvartal area, and their merger reduces the Group's administrative burden.

## 6. Segment information

The group identifies segments based on two combined characteristics: field of activity and geographical region. The three main segments are Bulgarian development, Estonian development and Estonian construction. Other activities include franchise fee, the sale of Latvian lands and the proceeds and profits of the Madrid Blvd commercial building sold in 2023.

External revenue, interest and profit/loss by segment

| **Segment** | **Bulgarian development** | | **Estonian development** | | **Estonian construction** | | **Other** | | **Consolidated** | |
|---|---|---|---|---|---|---|---|---|---|---|
| | **2024** | 2023 | **2024** | 2023 | **2024** | 2023 | **2024** | 2023 | **2024** | 2023 |
| *In thousands of euros* | | | | | | | | | | |
| Revenue | 0 | 0 | 7,204 | 17,612 | 6 | 6 | 273 | 721 | **7,477** | 18,339 |
| Amortization | -11 | -11 | -4 | 0 | -3 | -3 | -67 | -80 | **-85** | -94 |
| Operating profit/ loss | 131 | -1,003 | 284 | 5,337 | -394 | -246 | 47 | -148 | **68** | 3,940 |
| Interest | 0 | -7 | -652 | -50 | 0 | 3 | 0 | -336 | **-652** | -390 |
| Net profit/ loss | 129 | -1,010 | -376 | 5,287 | -391 | -243 | 14 | -484 | **-624** | 3,550 |

Fore revenue, see note 7. For interest expense, see note 11.

Revenue by segment

| Segment | Bulgarian development | | Estonian development | | Estonian construction | | Other | | Eliminations | | Consolidated | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | **2024** | 2023 | **2024** | 2023 | **2024** | 2023 | **2024** | 2023 | **2024** | 2023 | **2024** | 2023 |
| *In thousands of euros* | | | | | | | | | | | | |
| External revenue | 0 | 0 | 7,204 | 17,612 | 0 | 6 | 273 | 721 | - | - | 7,477 | 18,339 |
| Revenue from other segments | 0 | 284 | 0 | 2 | 2,255 | 11,968 | 890 | 768 | -3,145 | -13,022 | 0 | 0 |
| **Total revenue** | **0** | **284** | **7,204** | **17,614** | **2,255** | **11,974** | **1,163** | **1,489** | **-3,145** | **-13,022** | **7,477** | **18,339** |

External assets and liabilities by segment

| **Segment** | **Bulgarian development** | | **Estonian development** | | **Estonian construction** | | **Other** | | **Consolidated** | |
|---|---|---|---|---|---|---|---|---|---|---|
| | **31.12.24** | 31.12.23 | **31.12.24** | 31.12.23 | **31.12.24** | 31.12.23 | **31.12.24** | 31.12.23 | **31.12.24** | 31.12.23 |
| *In thousands of euros* | | | | | | | | | | |
| Assets | 12,154 | 6,503 | 25,869 | 27,298 | 252 | 62 | 1,293 | 1,327 | **39,568** | 35,190 |
| Including property, plant and equipment | 3 | 7 | 475 | 0 | 1 | 4 | 143 | 210 | **622** | 221 |
| Including intangible assets | 12 | 22 | 0 | 0 | 0 | 0 | 40 | 2 | **52** | 24 |
| Liabilities | 3,549 | 662 | 11,595 | 8,477 | 279 | 1,299 | 4,406 | 3,735 | **19,829** | 14,173 |

For property, plant and equipment and intangible assets, see note 16.